

Sample compliance checks · Procurement

Demo Corp Inc. · Standard vendor contract review checklist

Use with Deals · Procurement · Run compliance check

1. LIABILITY

Vendor liability cap must not exceed fees paid in the twelve months before the claim.

Carve-outs required for IP infringement, confidentiality breach, and data breach.

2. SECURITY & COMPLIANCE

Vendor must maintain SOC 2 Type II or equivalent certification.

GDPR and CCPA compliance required where personal data is processed.

3. PAYMENT & AUDIT

Payment terms: net 60 days unless strategic vendor exception documented.

Customer audit rights: once per year on reasonable notice.

4. TERMINATION

Termination for convenience: maximum 90 days written notice.

Confidentiality survives termination for at least five (5) years.

5. INSURANCE

Commercial general liability minimum \$2M per occurrence.

6. GOVERNING LAW

State of Delaware preferred; document exceptions in negotiation issues.